

23-3d Net Exports

Net exports (spending on domestically produced goods by foreigners (exports) minus spending on foreign goods by domestic residents (imports))

equal the foreign purchases of domestically produced goods (exports) minus the domestic purchases of foreign goods (imports). A domestic firm’s sale to a buyer in another country, such as Boeing’s sale of an airplane to British Airways, increases net exports.

The *net* in *net exports* refers to the fact that imports are subtracted from exports. This subtraction is made because other components of GDP include imports of goods and services. For example, suppose that a household buys a \$50,000 car from Volvo, the Swedish carmaker. This transaction increases consumption by \$50,000 because car purchases are part of consumer spending. It also reduces net exports by \$50,000 because the car is an import. In other words, net exports include goods and services produced abroad (with a minus sign) because these goods and services are included in consumption, investment, and government purchases (with a plus sign). Thus, when a domestic household, firm, or government buys a good or service from abroad, the purchase does not affect GDP because it reduces net exports by the same amount that it raises consumption, investment, or government purchases.

Case Study:The Components of U.S. GDP

Table 1 shows the composition of U.S. GDP in 2018. In this year, the GDP of the United States was more than \$20 trillion. Dividing this number by the 2018 U.S. population of 327 million yields GDP per person (sometimes called GDP per capita) and reveals that the income and expenditure of the average American in 2018 was \$62,609.

Table 1

GDP and Its Components

This table shows total GDP for the U.S. economy in 2018 and the breakdown of GDP among its four components. When reading this table, recall the identity $Y = C + I + G + NX$.

	Total (in billions of dollars)	Per Person (in dollars)	Percent of Total
Gross domestic product, Y	\$20,501	\$62,609	100%

	Total (in billions of dollars)	Per Person (in dollars)	Percent of Total
Consumption, <i>C</i>	13,952	42,609	68
Investment, <i>I</i>	3,652	11,154	18
Government purchases, <i>G</i>	3,523	10,758	17
Net exports, <i>NX</i>	−626	−1,911	−3

Source: U.S. Department of Commerce. Parts may not sum to totals due to rounding.

Consumption made up 68 percent of GDP, or **\$42,609** per person. Investment was **\$11,154** per person. Government purchases were **\$10,758** per person. Net exports were **−\$1,911** per person. This number is negative because Americans spent more on foreign goods than foreigners spent on American goods.

These data come from the Bureau of Economic Analysis, the part of the U.S. Department of Commerce that produces the national income accounts. You can find more recent data on GDP on its website, <http://www.bea.gov>.

QuickQuiz

6. Which of the following does NOT add to U.S. GDP?
 - a. Boeing manufactures and sells a plane to Air France.
 - b. General Motors builds a new auto factory in North Carolina.
 - c. The city of New York pays a salary to a policeman.
 - d. The federal government sends a Social Security check to your grandmother.
7. An American buys a pair of shoes made in Italy. How do the U.S. national income accounts treat the transaction?
 - a. Net exports and GDP both rise.
 - b. Net exports and GDP both fall.
 - c. Net exports fall, while GDP does not change.

d. Net exports do not change, while GDP rises.

8. Which is the largest component of GDP?

a. consumption

b. investment

c. government purchases

d. net exports

Chapter 23: Measuring a Nation's Income: 23-3d Net Exports

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